

Middle East conflict tips global growth risks to downside

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【メール原文】

Conflict-driven energy costs are tipping global growth risks to the downside, with EG cutting resilient growth odds to 45% as tighter monetary policy |||||

Daily Brief

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summary

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Conflict-driven energy costs are tipping global growth risks to the downside, with EG cutting resilient growth odds to 45% as tighter monetary policy erodes upside potential.

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Polling gains have pushed Democratic odds of flipping both US chambers higher, though a 2024-style polling bias remains a key caveat.

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Member states' fiscal constraints will blunt EU plans for a meaningful increase in investment spending, producing only a modest uptick despite the bloc's substantial needs.

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Flavio Bolsonaro's 70% electoral odds have dimmed prospects for Brazil's workweek reduction bill, as party leaders pivot toward securing favor with the likely next president.

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Countries and sectors in this edition of the Daily Brief include the US, Brazil, the EU, France, Indonesia, the Philippines, and geoeconomics.

the top line

Geoeconomics—Top calls: Sustained Middle East conflict tips global growth risks to downside

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EG is lowering the odds of resilient global growth to 45% from 55%, with downside risks (30%) now exceeding upside potential (25%) as conflict-driven energy costs raise expectations of tighter central bank policy and push long-term yields sharply higher.

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The risk of macroeconomic and market spillovers from conflict is rising amid a likely Saudi escalation against the Houthis (60% odds), a sustained US-Iran standoff through year-end (60%), and an intensification of the Russia-Ukraine conflict.

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Democrats' 55% odds of winning unified control of Congress and the White House's 70% likelihood of firing Fed Governor Michael Barr would not materially alter US fiscal or monetary policy, while worst-case scenarios in US-China relations, Taiwan, and Russia-Ukraine pose the greatest market risks and opposition wins in Brazil and Israel offer upside potential.

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Read more here . Reach out to discuss: geoeconomics@eurasiagroup.net .

France, Geoeconomics—Chart of the day: Surging yields raise interest bills and shrink fiscal space

US—Polling gains boost Democratic odds in House and Senate

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EG is upgrading its odds that Democrats flip the House (90%, up from 85%) and Senate (60%, up from 55%) on the back of a continued polling surge.

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A comfortable Democratic House majority has become more likely, with the party probably flipping just over 20 seats, while a tight Senate race still leaves a 53-seat majority in reach for Democrats (see note , 6 October).

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The highly left-leaning national environment will limit the efficacy of any last-minute Republican advertising blitzes or populist promises to voters, but the possibility of a 2024-style polling bias is a note of caution for Democrats.

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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

EU—Governments will blunt plans for more EU investment spending

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Despite the European Commission's best efforts, opposition from member states facing growing fiscal constraints will limit the scope for a meaningful increase in EU investment funding in the next EU budget cycle (2028-2034).

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Planned governance changes would mark a significant improvement, but a likely compromise will whittle down the overall size of the budget and the proposed increase in investment spending, resulting in only a modest uptick, despite the EU's large investment needs.

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Member states are rushing to reach a political agreement by early 2027, well ahead of elections in several key countries, which could significantly complicate the final stages of the approval process.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

Brazil—Workweek reduction unlikely with Bolsonaro now favorite to win

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A Brazilian Senate vote on Constitutional Amendment Proposal 221/2019, which would shorten the maximum workweek, is scheduled for 6 October. The bill has been closely tied to President Luiz Inacio Lula da Silva's administration's agenda, but with Bolsonaro now at 70% odds of winning, it is unlikely to pass in its current form.

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A heavy favorite to win the election, Bolsonaro opposes the legislation, which may instead be amended to establish a gradual phase-in of corporate tax exemptions, requiring a further lower house review.

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Though some legislators continue to favor the bill, most have already secured reelection, and the proposal no longer offers a meaningful boost to their political standing. Party leaders will avoid friction with the likely future president and seek to win his favor.

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Read more here . Reach out to discuss: brazil@eurasiagroup.net .

upcoming conference calls

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7 October 10:00 AM ET—Mexico update. Register here .

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7 October 11:00 AM ET—A conversation with Dr. Mmusi Maimane (South Africa elections). Register here .

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7 October 11:00 AM ET—Saudi Arabia and Yemen conflict update. Register here .

eg in brief

Indonesia—Prabowo-Jokowi relations a watchpoint despite Gibran court ruling: Indonesia's Constitutional Court dismissed a challenge to Vice President Gibran Rakabuming Raka, son of former president Joko Widodo (Jokowi), over alleged education credential deficiencies. The ruling is only a partial reprieve: Gibran may still face an impeachment threat in parliament, and whether he can run for president in 2029 remains unresolved. The dismissal suggests the court retains relative independence from the executive, acting as one of the few checks on President Prabowo Subianto's concentration of political power amid broader concerns about institutional erosion. That some of his allies backed the case against Gibran rather than Prabowo himself points to fault lines within the coalition. Prabowo's recent cabinet reshuffle, which replaced Jokowi-linked officials with his own allies, signals a more Prabowo-dominant administration, though not yet an open break. Growing friction between the two camps risks policy uncertainty ahead of 2029, potentially affecting coalition dynamics and Prabowo's economic agenda. Read more here . Reach out to discuss: southeastasia@eurasiagroup.net .

Indonesia—New law modestly tightens labor market: Indonesia's new Employment Protection Law, passed 6 October, replaces labor provisions from the Jokowi-era Job Creation Law, strengthening protections for women, disabled workers, and outsourced employees while introducing new severance and unemployment insurance arrangements. The changes should improve job security and household welfare while increasing employers' obligations around worker protection and layoffs. Measures to strengthen professional certification, training, and productivity could enhance labor quality and adaptability while expanded protections for flexible work could help the workforce adjust to changes in

the economy. Gains will depend on effective implementation. The law is likely to have a slight negative effect on investment, particularly in labor-intensive sectors, as higher employment costs and reduced workforce flexibility could make Indonesia less attractive than competing manufacturing locations—though supply-chain diversification away from China should limit the effect. The tension with Prabowo's investment agenda makes implementation the key watchpoint. Read more here. Reach out to discuss: southeastasia@eurasiagroup.net .

Philippines—Vice President Sara Duterte-Carpio faces increased ouster risk: The Philippine Senate recently lowered the threshold to convict Duterte-Carpio in her impeachment trial, excluding absent senators from the two-thirds calculation. With 14 of 20 available senators now sufficient for a guilty verdict, down from 16, ouster risk has risen after an allied senator defected, though several others remain on the fence. Short-term political and policy implications of removal are limited, but if not later overturned by courts, conviction would bar Duterte-Carpio from the 2028 presidential election, which she is favored to win. The Duterte family would push another relative for the presidency, and their return would recalibrate Manila's geopolitical positioning toward China. The Supreme Court dismissed challenges as premature, implying it may reconsider if Duterte-Carpio is ousted with fewer than 16 guilty votes. Most justices were appointed by her father, former president Rodrigo Duterte, though not necessarily in her favor. Read more here . Reach out to discuss: southeastasia@eurasiagroup.net .

Upcoming events:

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7 October: Central bank decisions: Peru and Poland.

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8 October: Data: Japan current account balance, Taiwan trade; Central bank decisions: Romania and Uruguay.

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9 October: Data: Brazil and Russia CPI, and US UMich consumer sentiment.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, Blaise Hanson, and Trista Kelley.

We love feedback! Send us a note at DailyBrief@eurasiagroup.net .

closing quip

"Whether you have a great president or not, Republican or Democrat, they don't do well in midterms. I don't know why. Nobody's explained it."—US President Donald Trump said at a 2 October campaign rally in Alabama.

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